



Alok Industries Ltd.

PROFITABILITY DIAGNOSIS & STRATEGIC TURNAROUND
ROADMAP

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Alok Industries is pivoting from a distressed independent manufacturer to a captive "feedstock-to-fashion" backbone for Reliance Industries



OWNERSHIP STRUCTURE: Majority promoter Reliance Industries; JM Financial ARC co-sponsor under the 2019 resolution plan.

BEFORE: INDEPENDENT MANUFACTURER

- Vertically integrated cotton & polyester operations
- Purchases PTA/MEG and cotton on the open market
- Sells yarn, fabric, PSF, and POY under own P&L
- Full raw-material volatility and high working-capital intensity
- High legacy leverage and severe export market exposure



AFTER: CAPTIVE BACKBONE FOR RELIANCE

- **Job-Work Model:** Polyester transitioned to conversion model with Reliance supplying feedstock directly.
- **Revenue Shift:** Books conversion income instead of gross sales (causing structural top-line contraction by design).
- **De-risked Operations:** Effectively insulated from PTA/MEG price volatility and working capital constraints.
- **Strategic Realignment:** Shifting emphasis from commodity yarn production to finished garments for captive retail.



Feedstock Security

Eliminates commodity price risk (PTA/MEG) and drastically reduces working capital intensity, creating a "closed-loop" supply chain with Reliance that improves operational predictability.



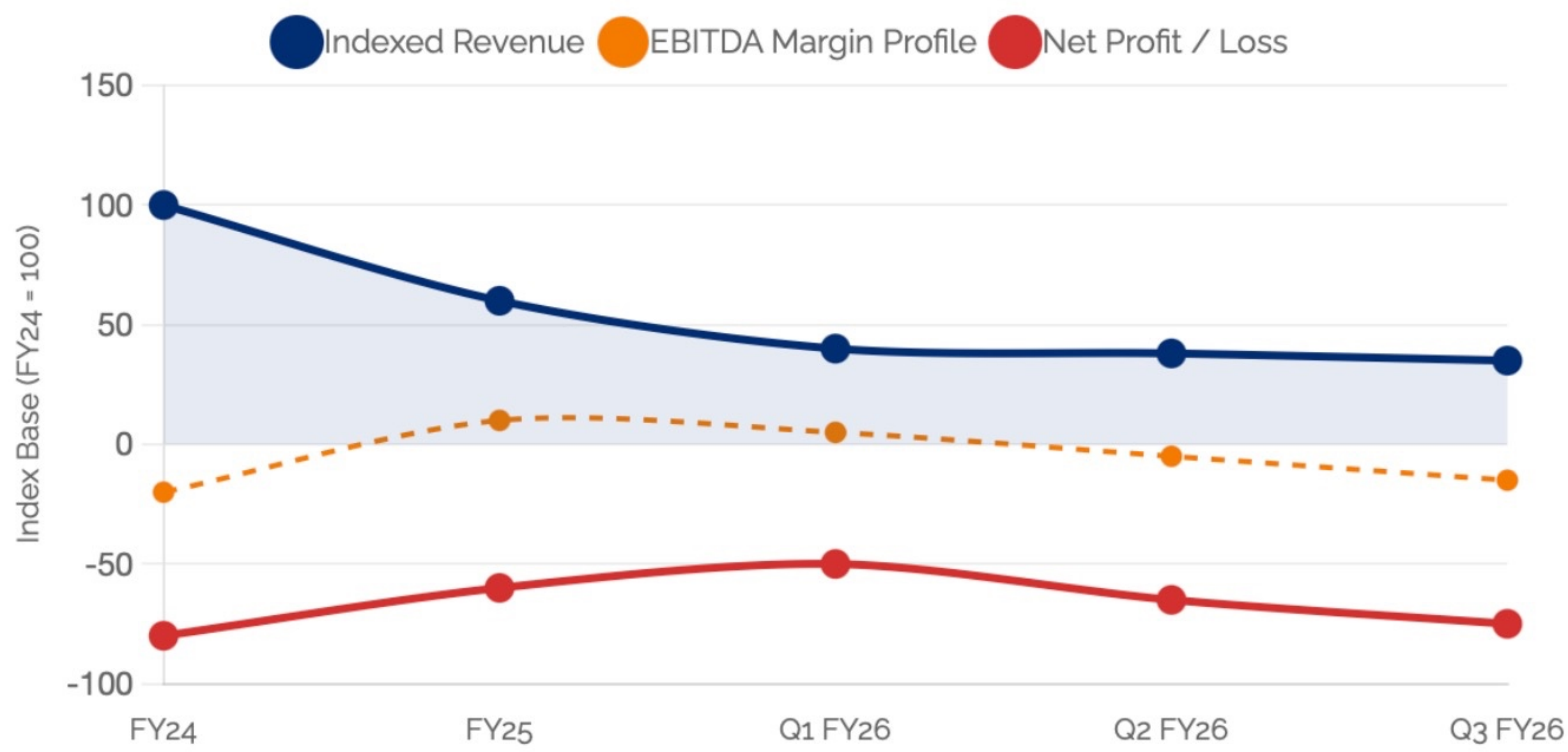
Captive Demand

Provides volume stability and enables a product roadmap tightly aligned with Reliance Retail and AJIO private labels, shifting the manufacturing focus from low-margin yarn to high-margin apparel.

Even though operations have stabilized somewhat, Alok is still P&L insolvent because of legacy debt, low margins, and external headwinds

KEY DIVERGENCE: Liquidity is stabilizing (OCF positive from job-work WC relief), but net worth and profitability remain deeply negative.

PROFITABILITY TRAJECTORY (INDEXED TREND)



- **Revenue Drop:** FY2025 top-line intentionally down due to polyester job-work shift (booking conversion income instead of gross sales).
- **Q1 FY26 Snapshot:** Revenue stood at ₹932.49 Cr with a net loss of ₹171.56 Cr.
- **Q3 FY26 Snapshot:** Consolidated net loss widened to ~₹218 Cr YoY as fixed-cost absorption faltered and EBITDA turned volatile.

Q3 FY26 LOSS DRIVERS (MECE FRAMEWORK)

1. Operational Disruption & Margin Squeeze

Gross margin compression as the remaining cotton segment must absorb all overheads. Fixed-cost under-absorption was further exacerbated by the unrecovered downtime from the July 2024 Silvassa tornado.

2. The "Interest Wall" & Legacy Debt

Severe finance costs routinely wipe out any operational EBITDA gains, yielding a deeply negative interest coverage ratio. A massive structural profitability cliff looms when assigned-debt interest payments resume.

3. External Trade & Macro Headwinds

US tariffs on Indian apparel and a cyclical global demand slowdown heavily restrict export volumes. Concurrently, Bangladesh tariff disruptions diverted regional volumes, intensely crowding the domestic market.



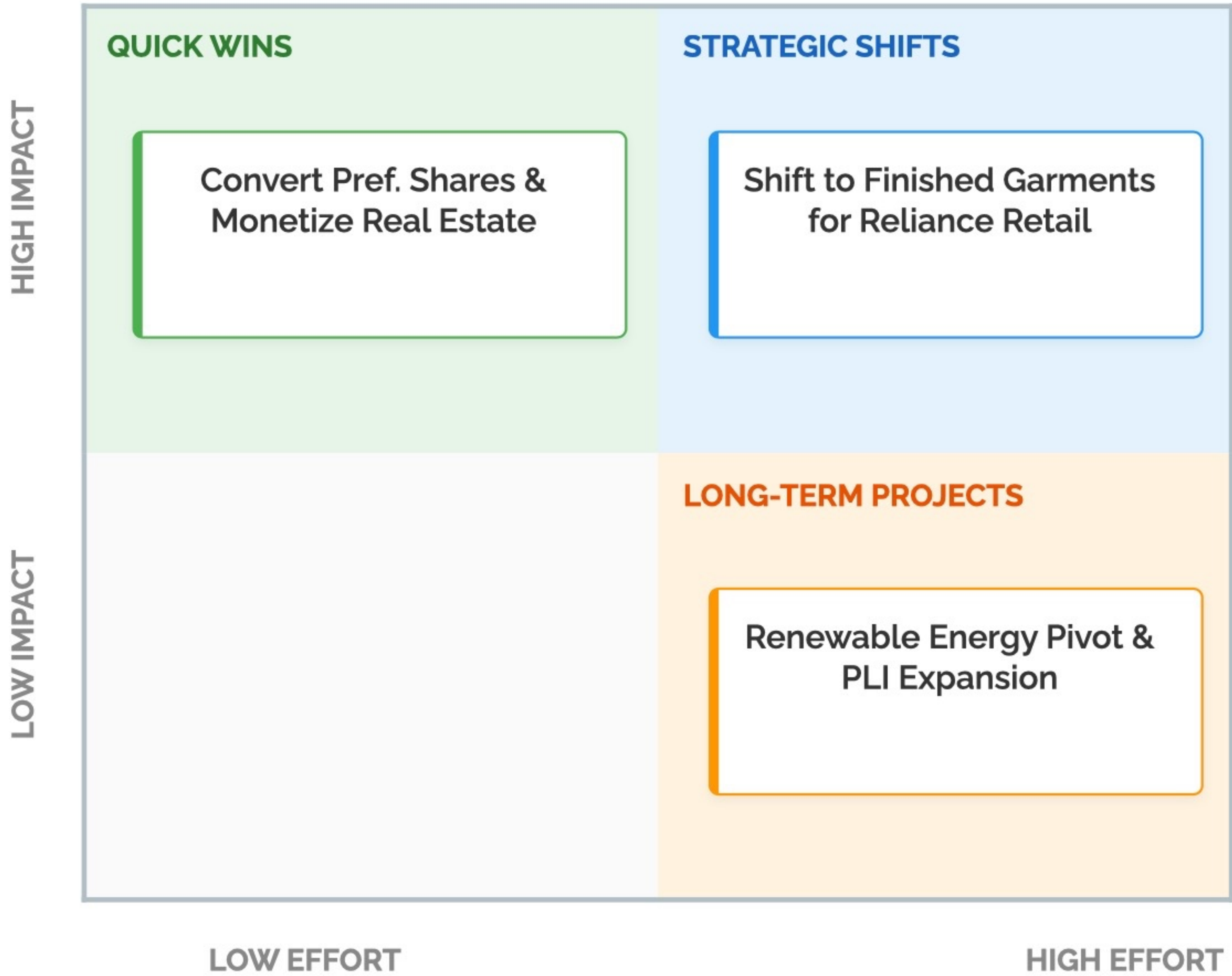
The turnaround requires deleveraging first, then moving up the value chain



STRATEGIC TURNAROUND TIMELINE

- 1
- Short-term: Balance Sheet Deleveraging (0-12 Months)**
 - **Capital Restructuring:** Convert outstanding preference shares to equity to eliminate dividend drag and strengthen negative net worth.
 - **Asset Monetization:** Expedite sale of non-core land parcels and exit loss-making international subsidiaries to replicate FY25 gains.
- 2
- Medium-term: Value-Chain Pivot (12-24 Months)**
 - **Product-Mix Upgrade:** Reallocate spinning/weaving capacity toward finished garments for AJIO and Reliance Retail.
 - **Margin Capture:** Transition away from commoditized yarn to capture significantly higher gross margins in captive apparel.
- 3
- Long-term: Structural Efficiency (24+ Months)**
 - **Energy Cost Rationalization:** Invest in captive solar and wind power for Silvassa and Vapi units to shrink heavy power/fuel OPEX.
 - **Policy Leverage:** Align new capacity with PLI and PM-MITRA schemes to benefit from capital subsidies and logistics efficiencies.

PRIORITIZATION MATRIX



ACTION IMPERATIVE: Dismantle the interest wall first, then structurally lift gross margins through value-added apparel.